Should Crumb & Co. Buy a Flour Mill?

Vertical integration is a strategy in which a company takes ownership of several stages of its production and distribution chain rather than buying those stages from independent firms. Backward integration moves a firm toward its raw materials and suppliers, while forward integration moves it toward its customers, for example by opening its own retail outlets. Firms pursue it to secure supply, capture the margin earned by intermediaries, and protect proprietary know-how. The costs are significant: large capital commitments, reduced flexibility when technology or demand shifts, and the managerial difficulty of running businesses with very different economics. Economists often explain the trade-off through transaction costs. When contracts are hard to write or enforce, owning the activity is cheaper than negotiating for it repeatedly. When markets are competitive and standards are clear, buying from specialists is usually the more efficient choice.

Crumb & Co. is a regional bakery chain with 14 stores, and this report asks whether it should buy its own flour mill. The theory is straightforward, but the numbers decide it. Flour is about 22% of our cost of goods, and a 10% rise last year cut store margin by nearly a point. A small mill would cost 3.5 crore rupees and needs a steady 40 tonnes of wheat a week to break even, which is more than our stores use today. That mismatch worries me. I would rather sign a two-year flour contract and revisit the mill once we pass 20 stores. I would also ask the owner whether the mill could sell surplus flour to local restaurants, because that single question changes the payback from nine years to five.